

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

# US RATES MARKET

OCTOBER 2026

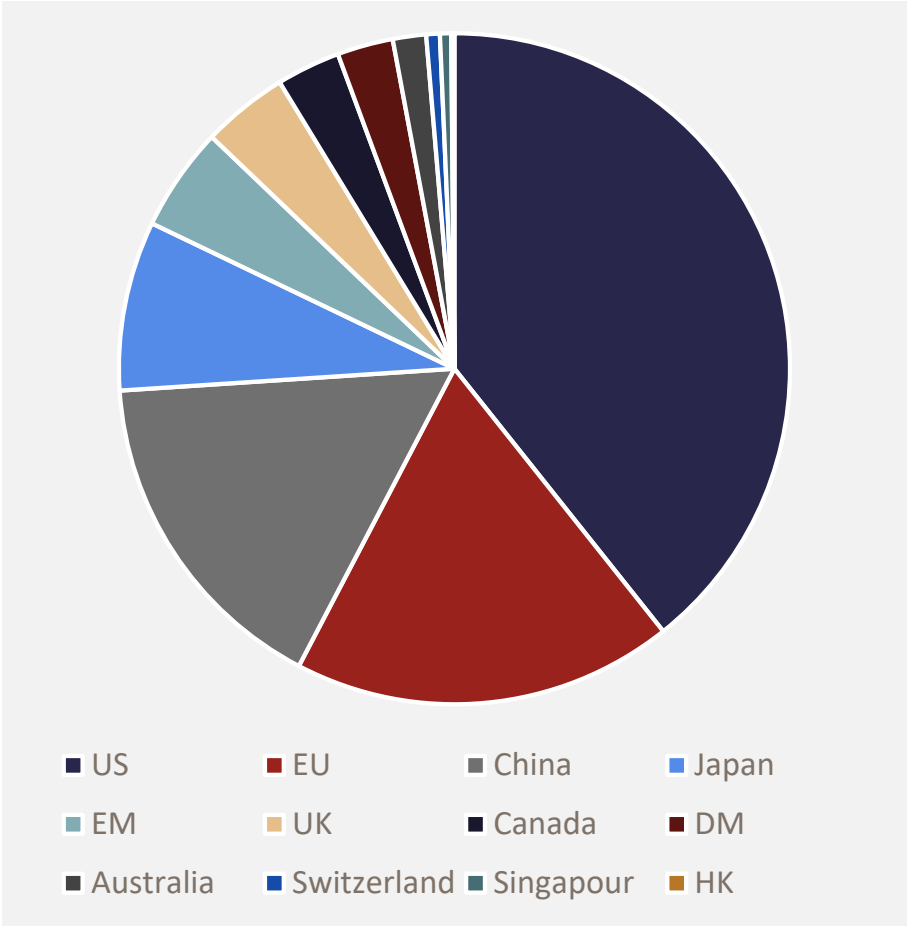
Slawomir Soroczynski
Global Chief Investment Officer: Fixed Income

# MARKET OVERVIEW

# GLOBAL FIXED INCOME MARKET OUTSTANDING

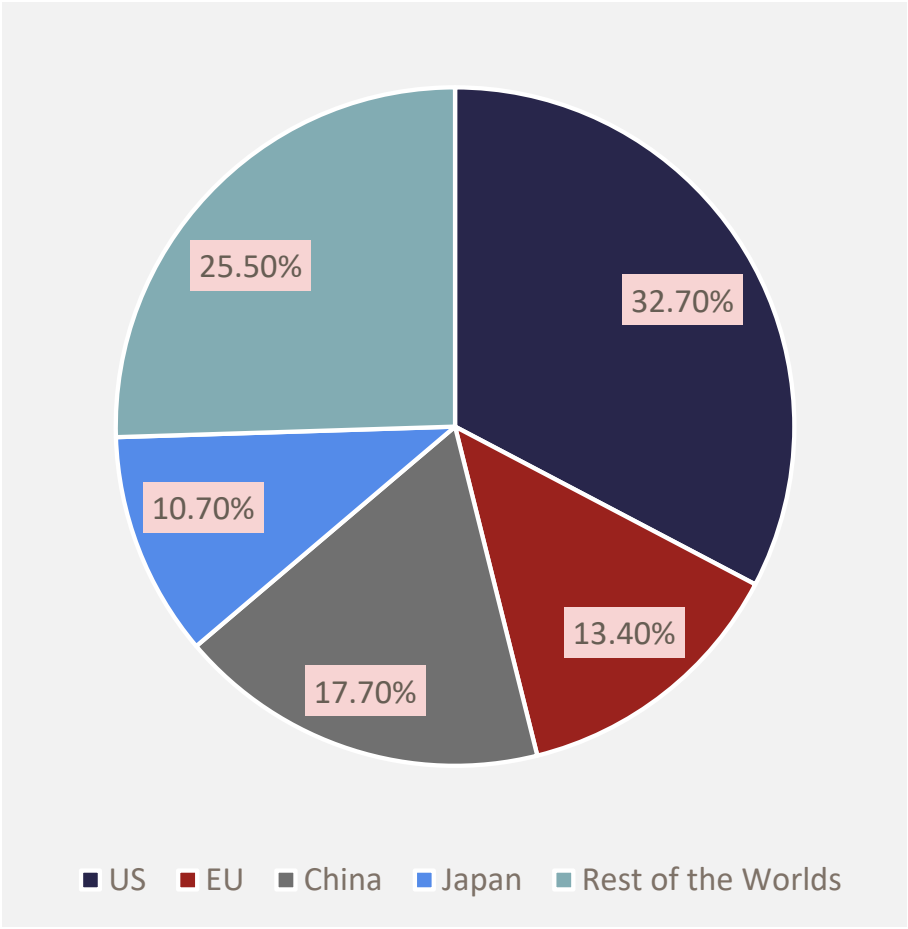
## As of the end of 2025 the size of the global fixed income market exceeded $161tn

**The size of the US part has grown to over $61.2tn**




Source: BIS,SIFMA, September 2026

**Government bonds represent the single largest segment of the fixed income market at 56% of total outstanding debt**

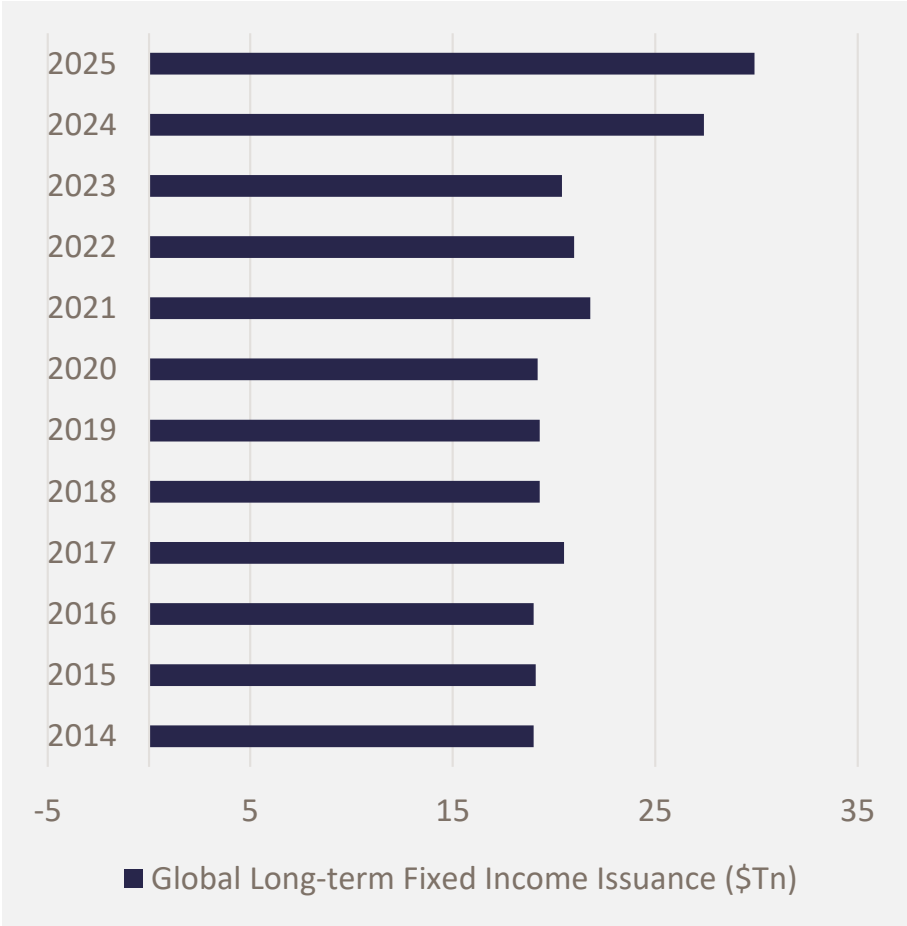



Source: Bloomberg LLP, September 2026

# THE DEBT VERSUS EQUITY ISSUANCE

## The pace of debt growth remains above the $20tn mark per annum

**Global Long-term* Fixed Income Issuance ($Tn)**




**Global Equity Issuance ($Tn)**



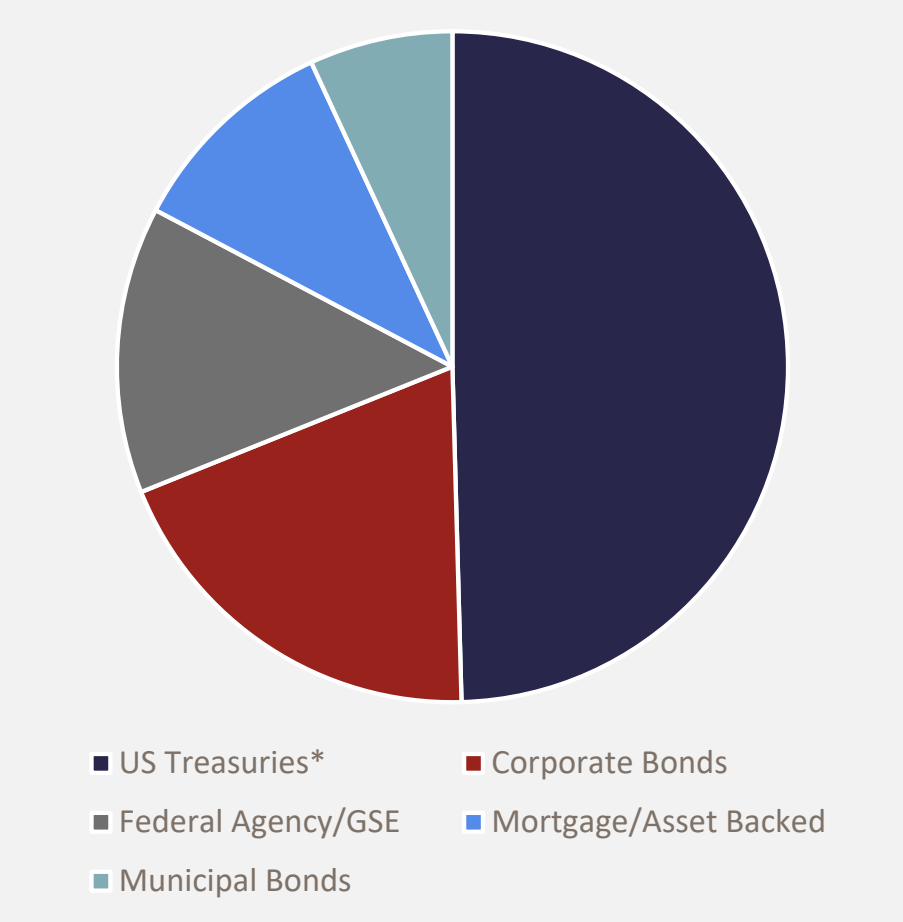

*Minimum maturity of 13 months
Source: Bloomberg, Refinitiv, Sifma, September 2026

# US RATES MARKET ON BLOOMBERG

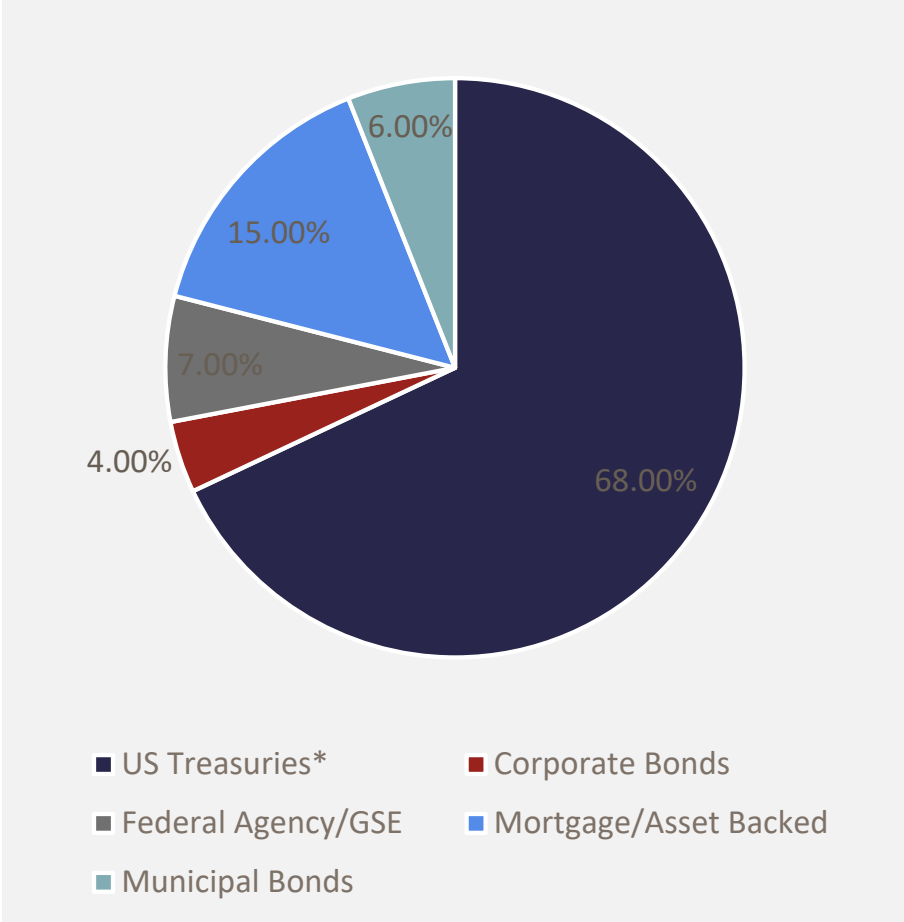
# US DOLLAR DENOMINATED DEBT

## UST market remains the largest and the most liquid part of the global fixed income market

**UST bonds account for more then half of the size**




**Estimated average daily turnover in 2025 is $1.45tn**




Source: BIS,SIFMA, September 2026
* Bills/Notes/Bonds/TIPS/FRNs

# IN FED WE TRUST

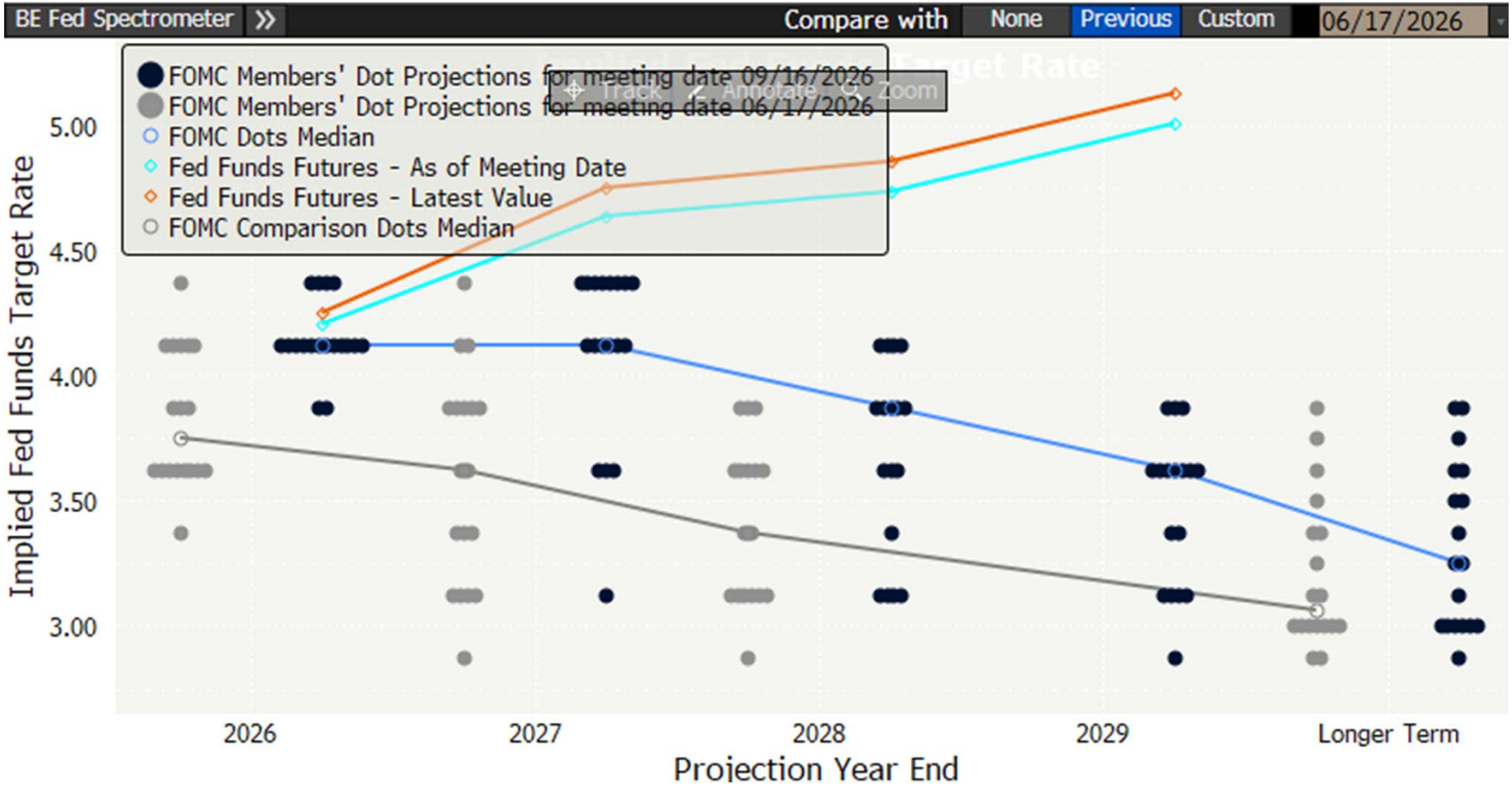
## Since the Great Financial Crisis, many look at the FED as the Central Bank of Central Banks




Source: Bloomberg, CAIM, September 2026
*Bloomberg function 'FED'

# FED FORWARD ‘GUIDANCE’ TOOL

## Since 2012 Fed officials started using the Dot Plot

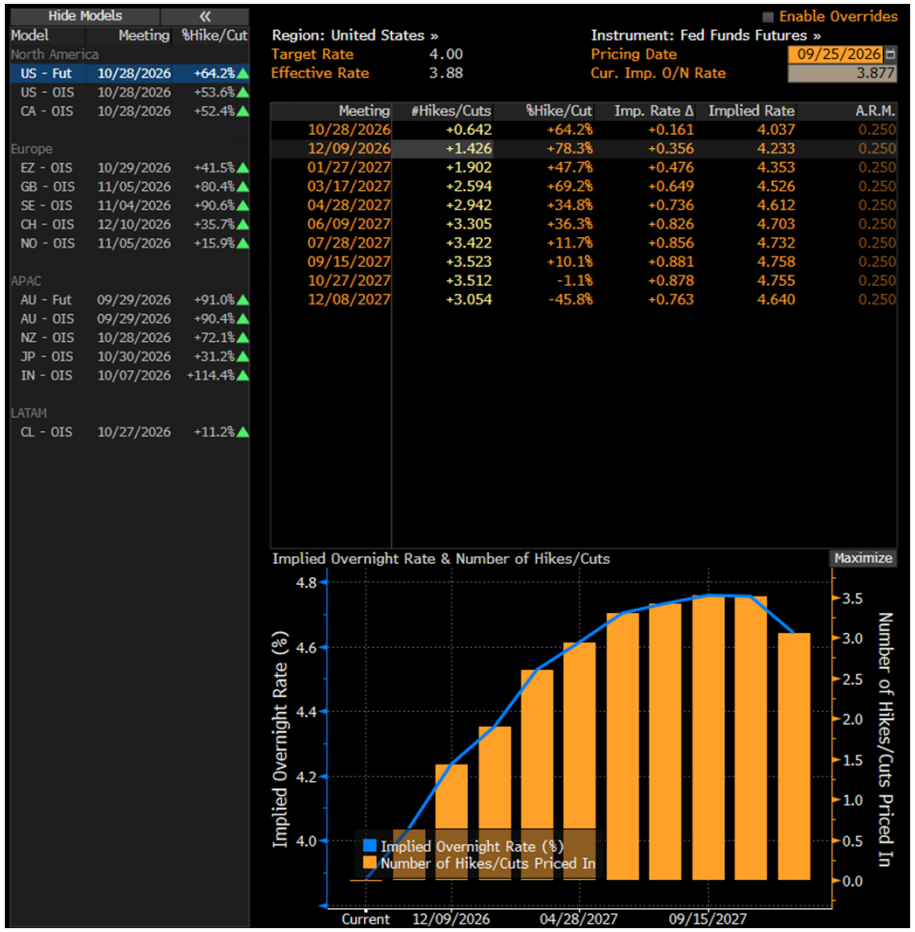



Source: Bloomberg, CAIM, September 2026
*Bloomberg function ‘DOTS’

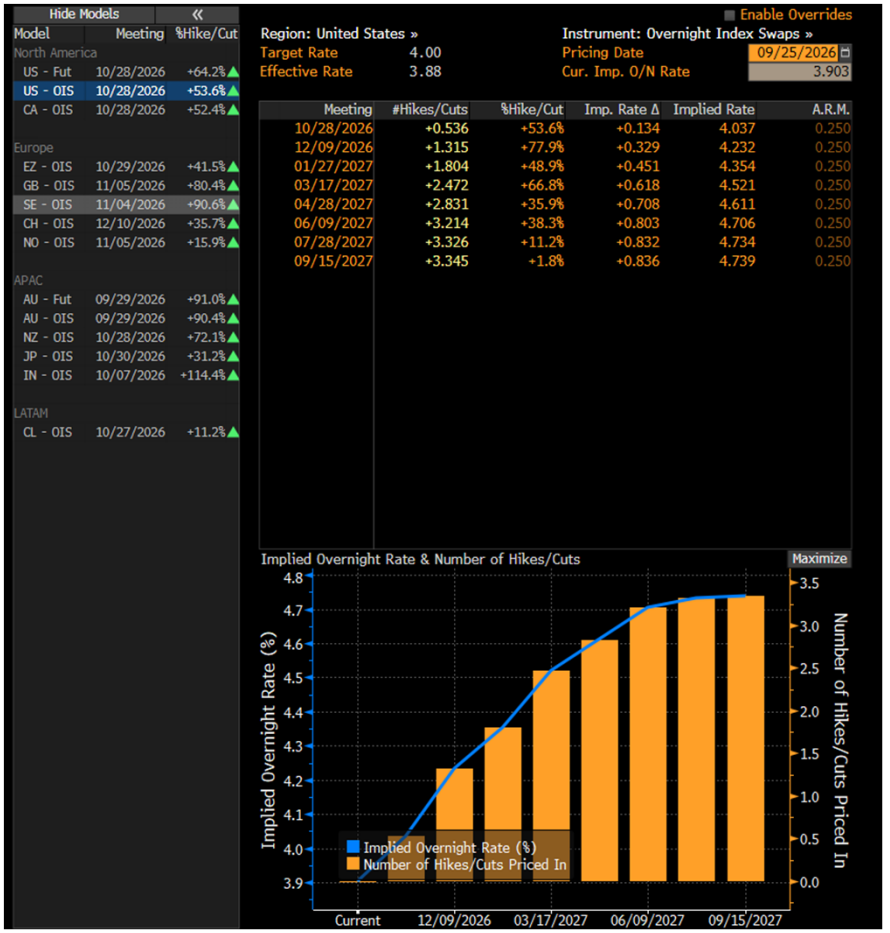
# THE FED'S INTEREST RATE PATH*

## Two active curves – which one to use?

### FED Funds Rate




### Overnight Interest Swap (OIS)

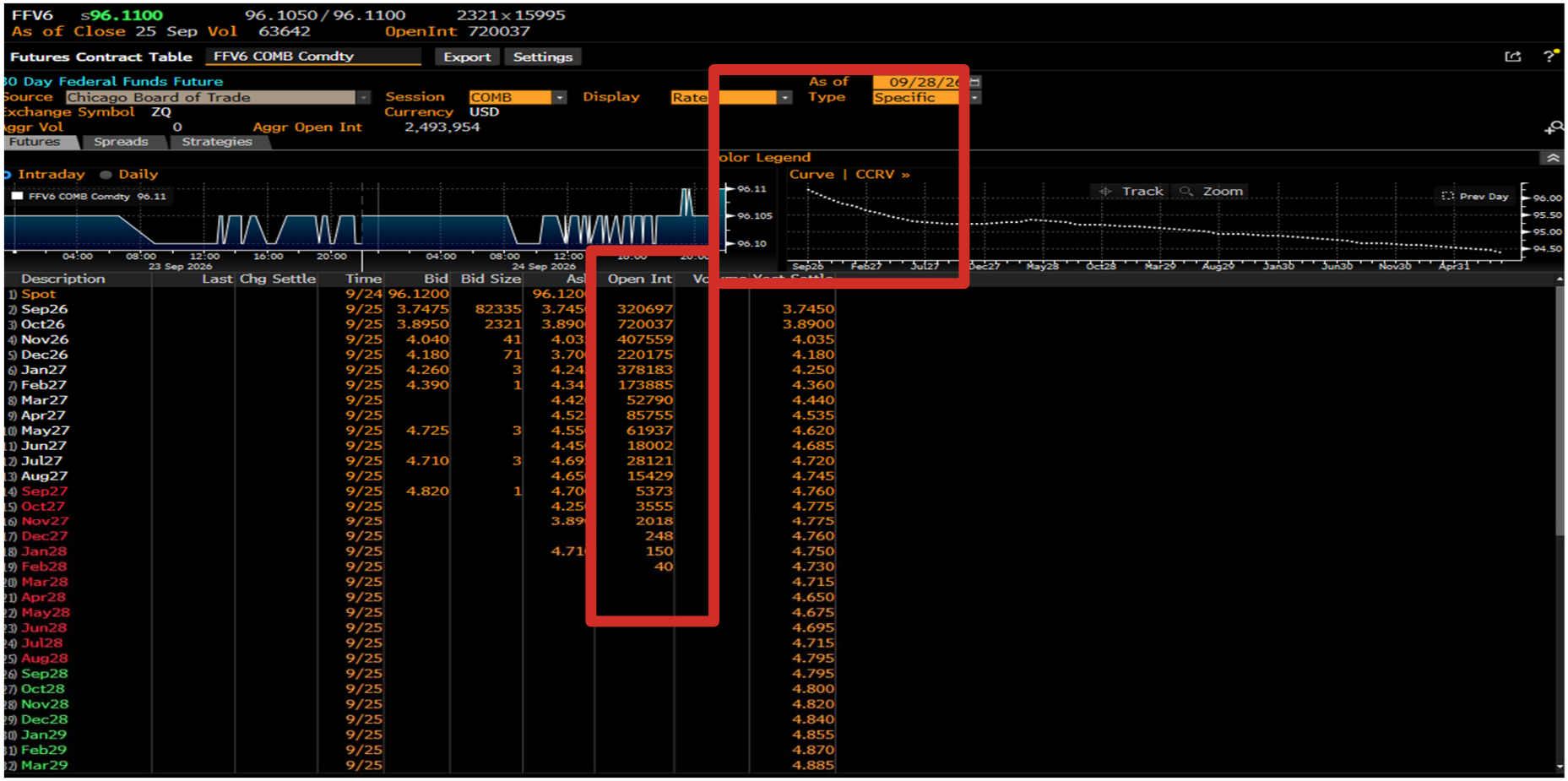



Source: Bloomberg, CAIM, , September 2026
*Bloomberg function 'WIRP'

# THE ‘FED’S’ CURVE*

## A ‘crystal ball’ for the interest rate path

**Fed Funds Futures liquidity dries quickly with time.**

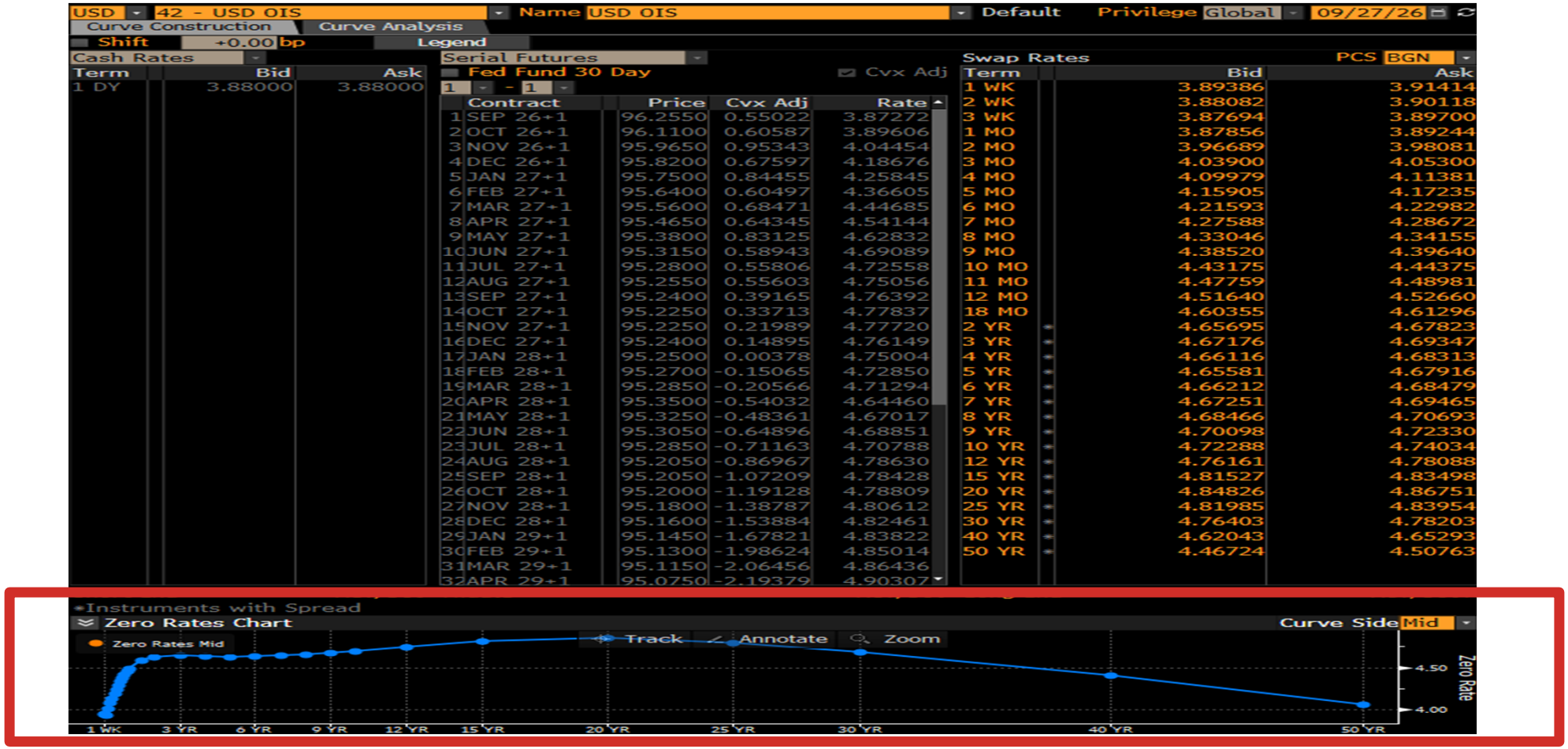



Source: Bloomberg, CAIM, , September 2026
*Bloomberg function ‘FFA Comdty CT’

# THE MARKET CURVE ('OIS')

## The market which volumes dwarf the sovereign debt market

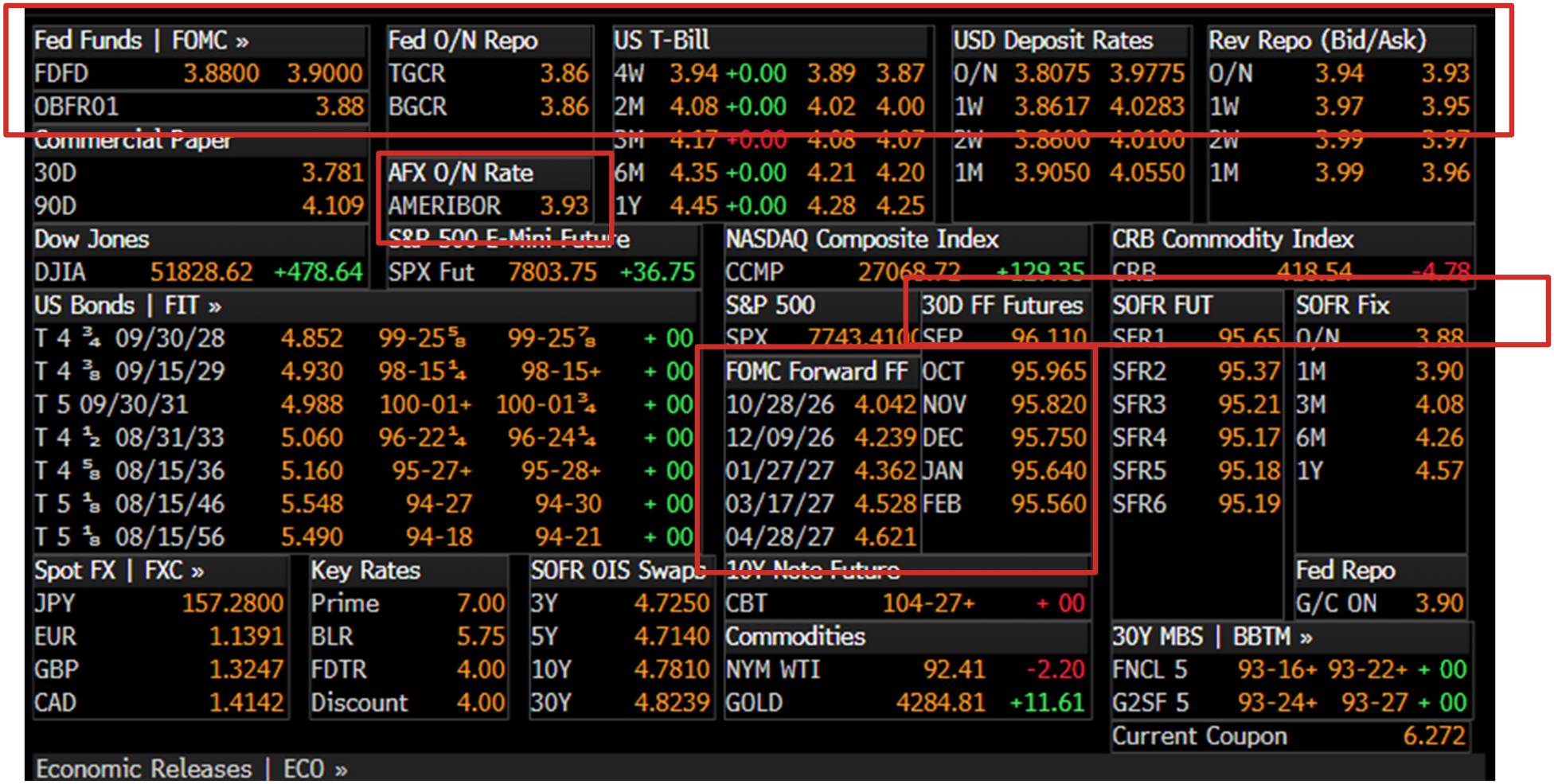
**The USD OIS market has approximately $65T of outstanding notional with over $300T trading activity (as of the end of 2025)**




Source: Bloomberg, CAIM, , September 2025
*Bloomberg function 'ICVS 42'

# US RATES MAIN MONITOR*

## Some key market elements worth monitoring



| Fed Funds \| FOMC » | | |
|---|---|---|
| FDFD | 3.8800 | 3.9000 |
| OBFR01 | | 3.88 |

| Commercial Paper | |
|---|---|
| 30D | 3.781 |
| 90D | 4.109 |

| Fed O/N Repo | |
|---|---|
| TGCR | 3.86 |
| BGCR | 3.86 |

| AFX O/N Rate | |
|---|---|
| AMERIBOR | 3.93 |

| US T-Bill | | | |
|---|---|---|---|
| 4W | 3.94 +0.00 | 3.89 | 3.87 |
| 2M | 4.08 +0.00 | 4.02 | 4.00 |
| 3M | 4.17 +0.00 | 4.08 | 4.07 |
| 6M | 4.35 +0.00 | 4.21 | 4.20 |
| 1Y | 4.45 +0.00 | 4.28 | 4.25 |

| USD Deposit Rates | | |
|---|---|---|
| O/N | 3.8075 | 3.9775 |
| 1W | 3.8617 | 4.0283 |
| 2W | 3.8600 | 4.0100 |
| 1M | 3.9050 | 4.0550 |

| Rev Repo (Bid/Ask) | | |
|---|---|---|
| O/N | 3.94 | 3.93 |
| 1W | 3.97 | 3.95 |
| 2W | 3.99 | 3.97 |
| 1M | 3.99 | 3.96 |

| Dow Jones | | |
|---|---|---|
| DJIA | 51828.62 | +478.64 |

| S&P 500 E-Mini Future | | |
|---|---|---|
| SPX Fut | 7803.75 | +36.75 |

| NASDAQ Composite Index | | |
|---|---|---|
| CCMP | 27068.72 | +129.35 |

| CRB Commodity Index | | |
|---|---|---|
| CRB | 418.54 | -4.78 |

| US Bonds \| FIT » | | | | |
|---|---|---|---|---|
| T 4 ¾ 09/30/28 | 4.852 | 99-25⅝ | 99-25⅞ | + 00 |
| T 4 ⅜ 09/15/29 | 4.930 | 98-15¼ | 98-15+ | + 00 |
| T 5 09/30/31 | 4.988 | 100-01+ | 100-01¾ | + 00 |
| T 4 ½ 08/31/33 | 5.060 | 96-22¼ | 96-24¼ | + 00 |
| T 4 ⅝ 08/15/36 | 5.160 | 95-27+ | 95-28+ | + 00 |
| T 5 ⅛ 08/15/46 | 5.548 | 94-27 | 94-30 | + 00 |
| T 5 ⅛ 08/15/56 | 5.490 | 94-18 | 94-21 | + 00 |

| S&P 500 | | | |
|---|---|---|---|
| SPX | 7743.41 | | |

| FOMC Forward FF | |
|---|---|
| 10/28/26 | 4.042 |
| 12/09/26 | 4.239 |
| 01/27/27 | 4.362 |
| 03/17/27 | 4.528 |
| 04/28/27 | 4.621 |

| 30D FF Futures | | |
|---|---|---|
| SEP | 96.110 | |
| OCT | 95.965 | |
| NOV | 95.820 | |
| DEC | 95.750 | |
| JAN | 95.640 | |
| FEB | 95.560 | |

| SOFR FUT | | SOFR Fix | |
|---|---|---|---|
| SFR1 | 95.65 | O/N | 3.88 |
| SFR2 | 95.37 | 1M | 3.90 |
| SFR3 | 95.21 | 3M | 4.08 |
| SFR4 | 95.17 | 6M | 4.26 |
| SFR5 | 95.18 | 1Y | 4.57 |
| SFR6 | 95.19 | | |

| Spot FX \| FXC » | |
|---|---|
| JPY | 157.2800 |
| EUR | 1.1391 |
| GBP | 1.3247 |
| CAD | 1.4142 |

| Key Rates | |
|---|---|
| Prime | 7.00 |
| BLR | 5.75 |
| FDTR | 4.00 |
| Discount | 4.00 |

| SOFR OIS Swaps | |
|---|---|
| 3Y | 4.7250 |
| 5Y | 4.7140 |
| 10Y | 4.7810 |
| 30Y | 4.8239 |

| 10Y Note Future | | |
|---|---|---|
| CBT | 104-27+ | + 00 |

| Commodities | | |
|---|---|---|
| NYM WTI | 92.41 | -2.20 |
| GOLD | 4284.81 | +11.61 |

| Fed Repo | |
|---|---|
| G/C ON | 3.90 |

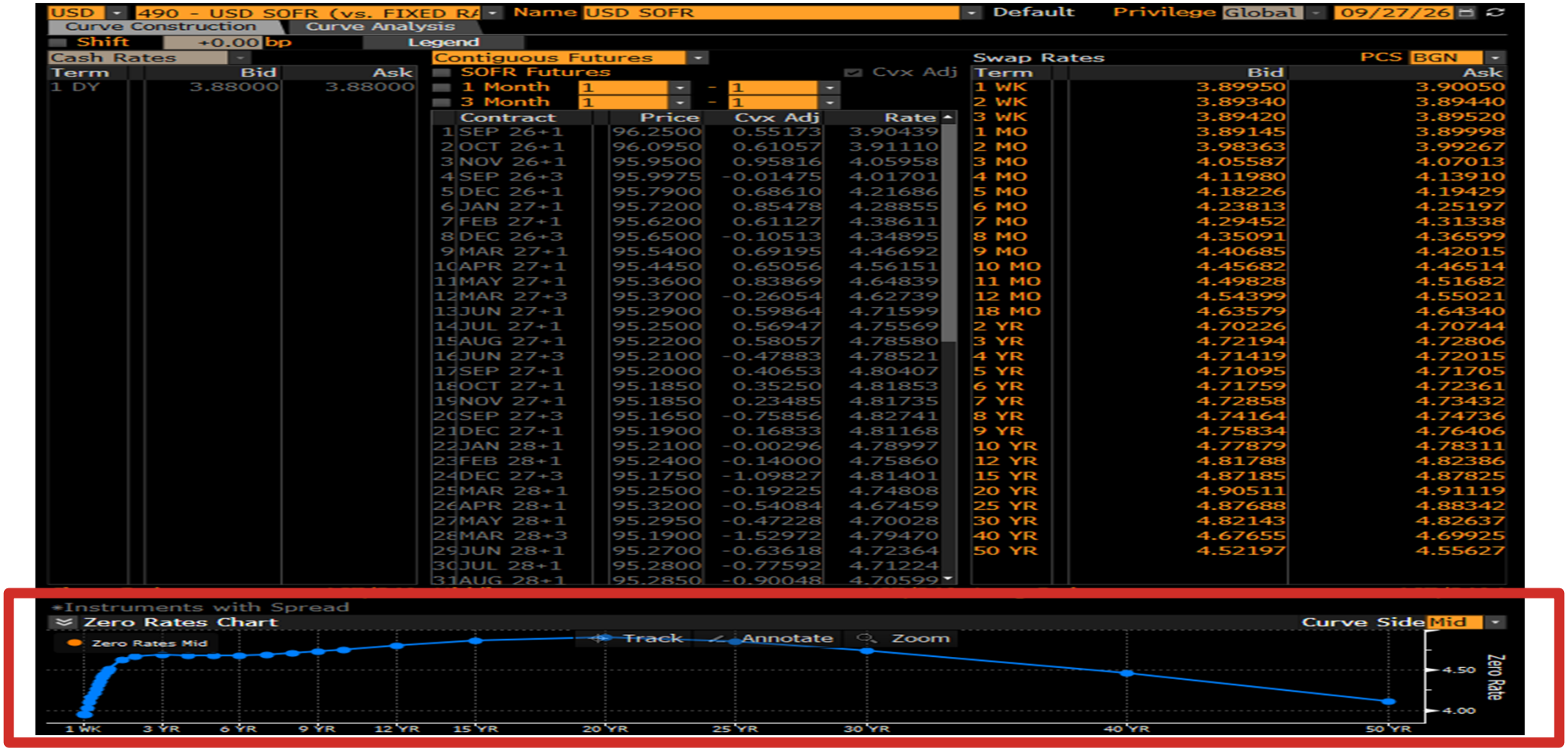
| 30Y MBS \| BBTM » | | |
|---|---|---|
| FNCL 5 | 93-16+ | 93-22+ + 00 |
| G2SF 5 | 93-24+ | 93-27 + 00 |
| Current Coupon | | 6.272 |

Economic Releases | ECO »

Source: Bloomberg, CAIM, September 2026
*Bloomberg function 'BTMM US'

# LIBOR IS 'DEAD'*

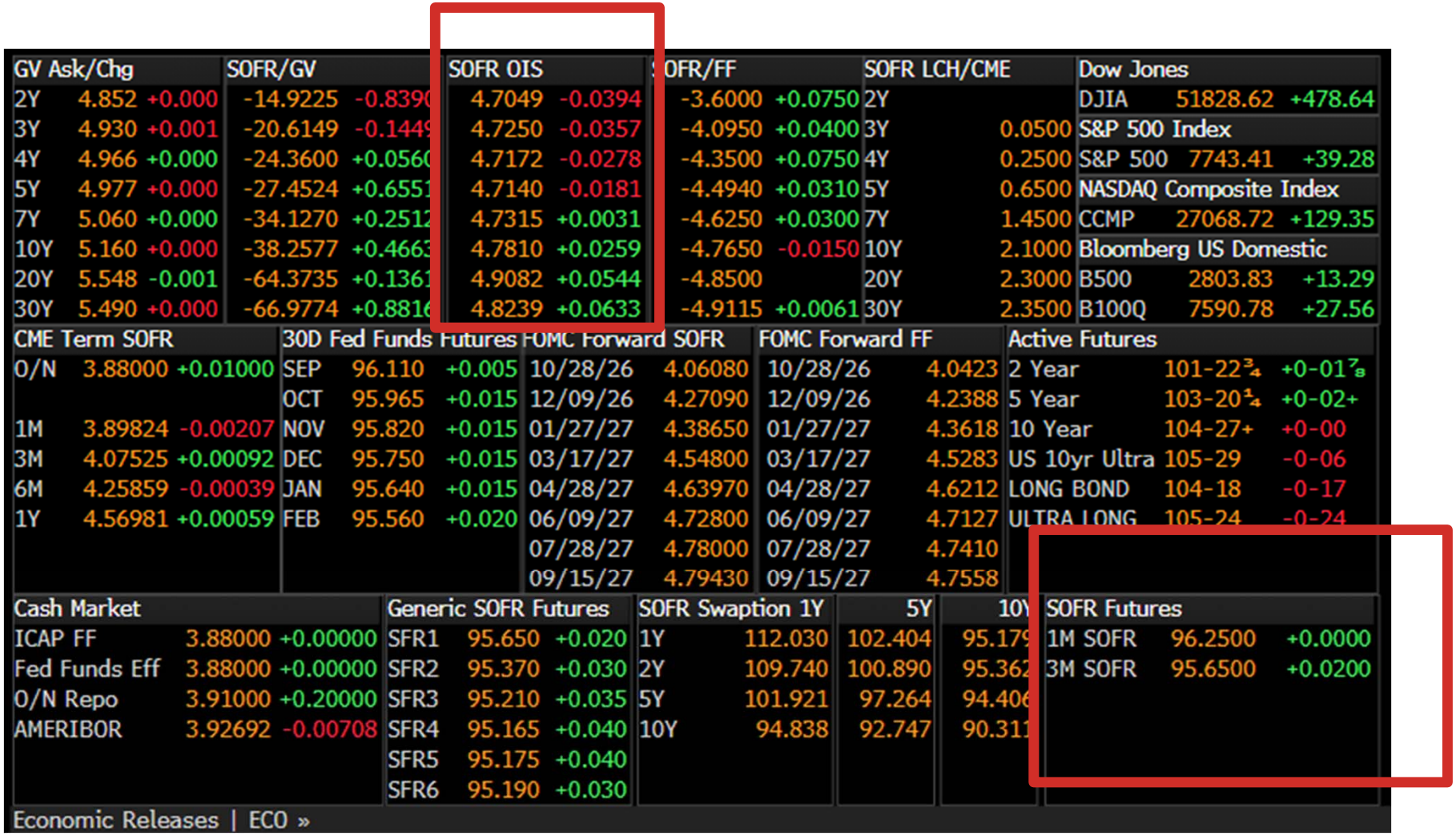
**The SOFR is a new 'tool' to navigate through the US rates space**




Source: Bloomberg, CAIM, , October 2025
*Bloomberg function 'ICVS 490'

# THE SOFR IS OUR NEW 'LIBOR'*

## Almost…



| GV Ask/Chg | | | SOFR/GV | | SOFR OIS | | OFR/FF | | SOFR LCH/CME | |
|---|---|---|---|---|---|---|---|---|---|---|
| 2Y | 4.852 | +0.000 | -14.9225 | -0.839 | 4.7049 | -0.0394 | -3.6000 | +0.0750 | 2Y | |
| 3Y | 4.930 | +0.001 | -20.6149 | -0.144 | 4.7250 | -0.0357 | -4.0950 | +0.0400 | 3Y | 0.0500 |
| 4Y | 4.966 | +0.000 | -24.3600 | +0.056 | 4.7172 | -0.0278 | -4.3500 | +0.0750 | 4Y | 0.2500 |
| 5Y | 4.977 | +0.000 | -27.4524 | +0.655 | 4.7140 | -0.0181 | -4.4940 | +0.0310 | 5Y | 0.6500 |
| 7Y | 5.060 | +0.000 | -34.1270 | +0.251 | 4.7315 | +0.0031 | -4.6250 | +0.0300 | 7Y | 1.4500 |
| 10Y | 5.160 | +0.000 | -38.2577 | +0.466 | 4.7810 | +0.0259 | -4.7650 | -0.0150 | 10Y | 2.1000 |
| 20Y | 5.548 | -0.001 | -64.3735 | +0.136 | 4.9082 | +0.0544 | -4.8500 | | 20Y | 2.3000 |
| 30Y | 5.490 | +0.000 | -66.9774 | +0.881 | 4.8239 | +0.0633 | -4.9115 | +0.0061 | 30Y | 2.3500 |

| Dow Jones | | |
|---|---|---|
| DJIA | 51828.62 | +478.64 |
| S&P 500 Index | | |
| S&P 500 | 7743.41 | +39.28 |
| NASDAQ Composite Index | | |
| CCMP | 27068.72 | +129.35 |
| Bloomberg US Domestic | | |
| B500 | 2803.83 | +13.29 |
| B100Q | 7590.78 | +27.56 |

| CME Term SOFR | | |
|---|---|---|
| O/N | 3.88000 | +0.01000 |
| 1M | 3.89824 | -0.00207 |
| 3M | 4.07525 | +0.00092 |
| 6M | 4.25859 | -0.00039 |
| 1Y | 4.56981 | +0.00059 |

| 30D Fed Funds Futures | | |
|---|---|---|
| SEP | 96.110 | +0.005 |
| OCT | 95.965 | +0.015 |
| NOV | 95.820 | +0.015 |
| DEC | 95.750 | +0.015 |
| JAN | 95.640 | +0.015 |
| FEB | 95.560 | +0.020 |

| FOMC Forward SOFR | |
|---|---|
| 10/28/26 | 4.06080 |
| 12/09/26 | 4.27090 |
| 01/27/27 | 4.38650 |
| 03/17/27 | 4.54800 |
| 04/28/27 | 4.63970 |
| 06/09/27 | 4.72800 |
| 07/28/27 | 4.78000 |
| 09/15/27 | 4.79430 |

| FOMC Forward FF | |
|---|---|
| 10/28/26 | 4.0423 |
| 12/09/26 | 4.2388 |
| 01/27/27 | 4.3618 |
| 03/17/27 | 4.5283 |
| 04/28/27 | 4.6212 |
| 06/09/27 | 4.7127 |
| 07/28/27 | 4.7410 |
| 09/15/27 | 4.7558 |

| Active Futures | | |
|---|---|---|
| 2 Year | 101-22¾ | +0-01⅞ |
| 5 Year | 103-20¼ | +0-02+ |
| 10 Year | 104-27+ | +0-00 |
| US 10yr Ultra | 105-29 | -0-06 |
| LONG BOND | 104-18 | -0-17 |
| ULTRA LONG | 105-24 | -0-24 |

| Cash Market | | |
|---|---|---|
| ICAP FF | 3.88000 | +0.00000 |
| Fed Funds Eff | 3.88000 | +0.00000 |
| O/N Repo | 3.91000 | +0.20000 |
| AMERIBOR | 3.92692 | -0.00708 |

| Generic SOFR Futures | | |
|---|---|---|
| SFR1 | 95.650 | +0.020 |
| SFR2 | 95.370 | +0.030 |
| SFR3 | 95.210 | +0.035 |
| SFR4 | 95.165 | +0.040 |
| SFR5 | 95.175 | +0.040 |
| SFR6 | 95.190 | +0.030 |

| SOFR Swaption 1Y | | | |
|---|---|---|---|
| 1Y | 112.030 | 102.404 | 95.179 |
| 2Y | 109.740 | 100.890 | 95.362 |
| 5Y | 101.921 | 97.264 | 94.406 |
| 10Y | 94.838 | 92.747 | 90.311 |

| SOFR Futures | | |
|---|---|---|
| 1M SOFR | 96.2500 | +0.0000 |
| 3M SOFR | 95.6500 | +0.0200 |

Economic Releases | ECO »

Source: Bloomberg, CAIM, , September 2026
*Bloomberg function 'USSW'

# TWO CONTRACTS ONE INSTRUMENT

## Which one to choose

**SER1 (1mth) vs SFR1 (3mths)**

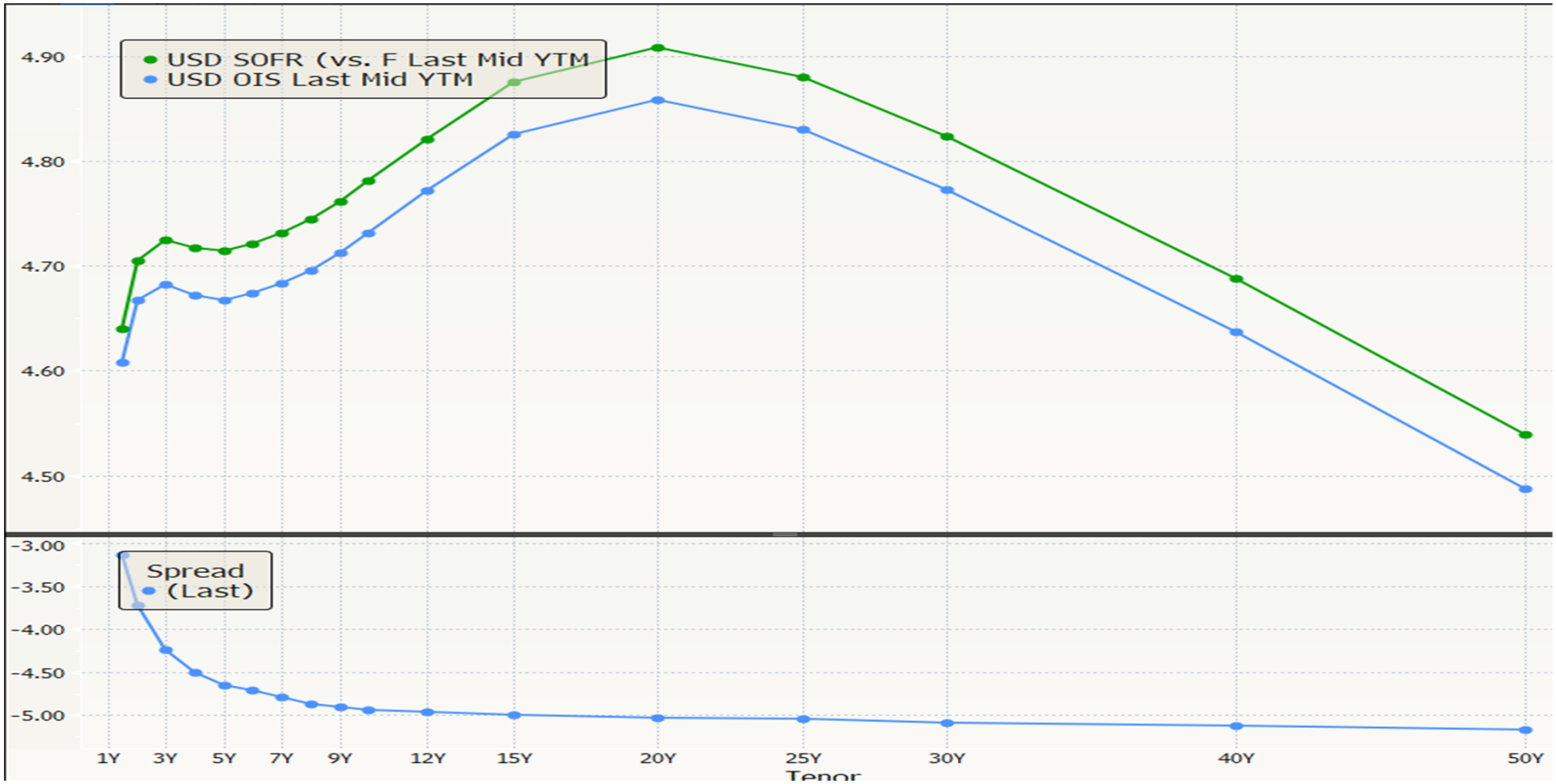
| Feature | 1-Month SOFR (SR1) | 3-Month SOFR (SR3) |
|---|---|---|
| Reference Rate | Arithmetic average of daily SOFR over a calendar month | Compounded daily SOFR over a 3-month IMM period |
| Averaging Method | Simple (arithmetic) average | Compound average |
| Notional Value | $4,167 per contract (≈ $5M × 1/12) | $2,500 per contract (≈ $1M × 90/360) |
| Expiry Cycle | Monthly (every calendar month) | Quarterly (IMM dates: Mar, Jun, Sep, Dec) |
| Pricing Convention | 100 minus the average SOFR rate | 100 minus the compounded SOFR rate |
| Tick Size | 0.25 bps = $10.42 per contract | 0.25 bps = $6.25 per contract |

**Which one is better?**

- **SR1 (1-Month):** Better suited for hedging short-dated, month-specific rate exposure — e.g., targeting a specific FOMC meeting outcome. More granular control over timing.
- **SR3 (3-Month):** The more liquid and widely traded contract. Preferred for hedging floating-rate loans, swaps, and constructing the SOFR forward curve. Analogous to the old Eurodollar futures.

# SECURED VERSUS UNSECURED RISK

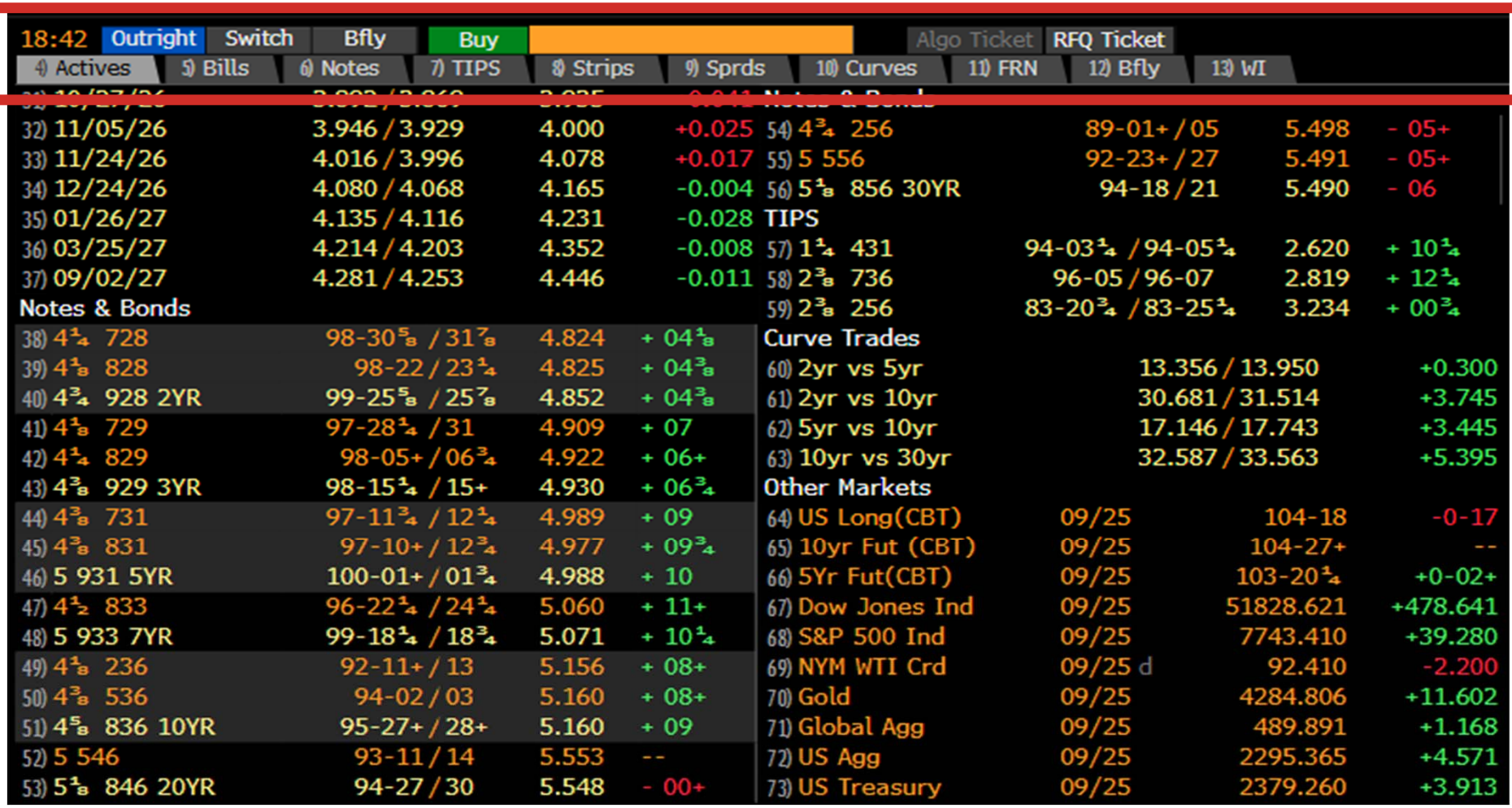
## Disturbance of demand/supply forces




Source: Bloomberg, CAIM, September 2026
*Bloomberg function 'GC'

# UST ACTIVE MONITOR*1

## Liquidity does matter

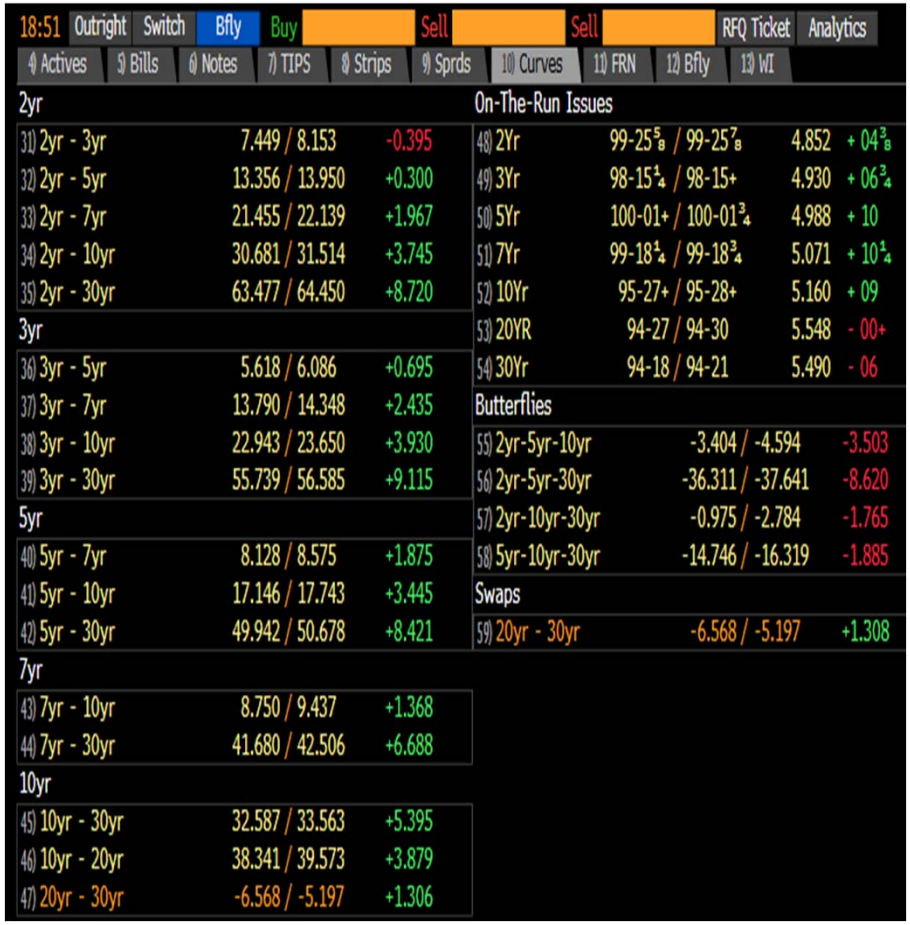



Source: Bloomberg, CAIM, September 2026
*Bloomberg function 'FIT'

# UST ACTIVE MONITOR*2

## Bills, Notes, TIPS, Strips and much more

**'Curves'**




**When Issue**

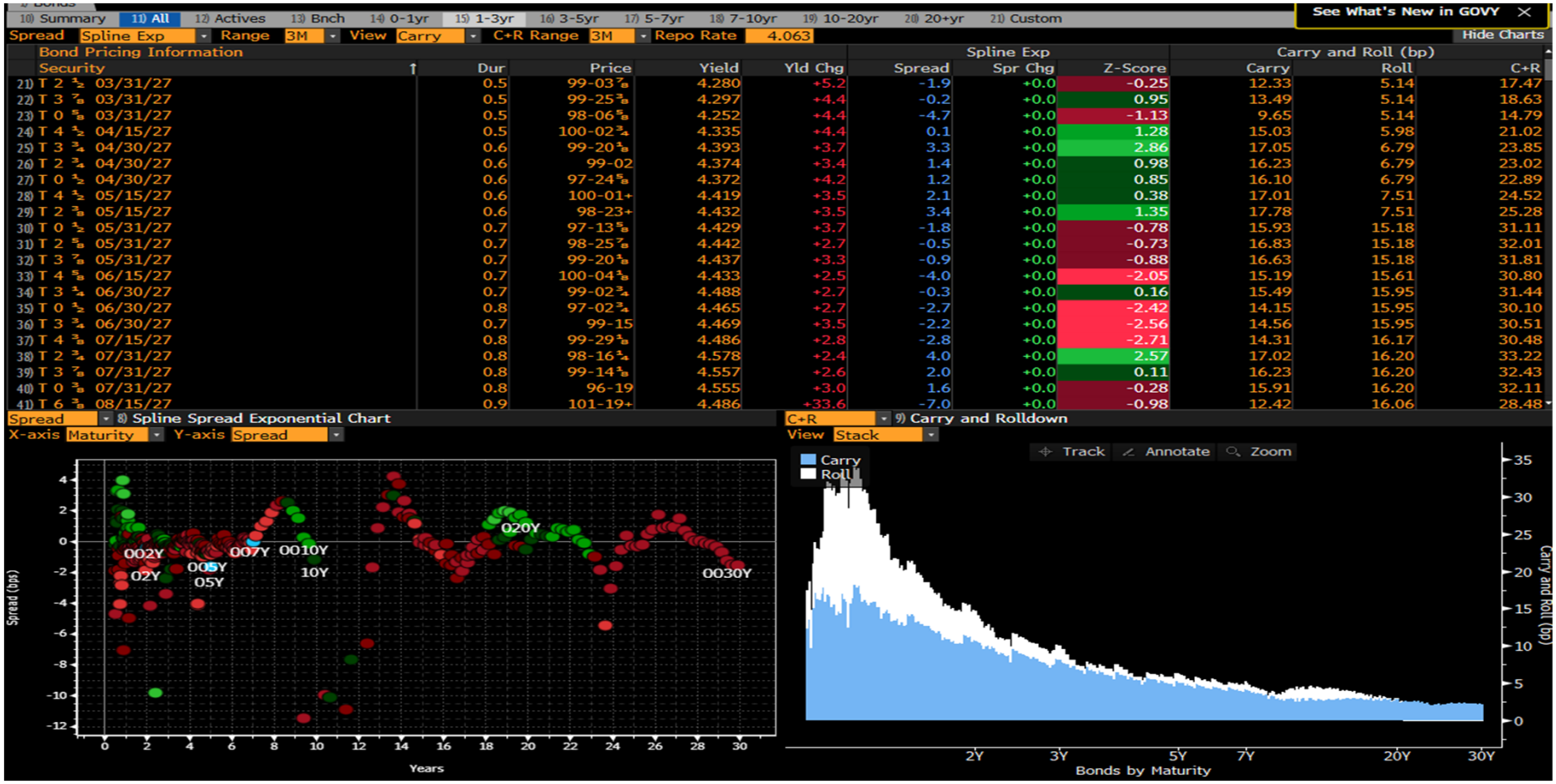



Source: Bloomberg, CAIM, September 2026
*Bloomberg function 'FIT'

# US TREASURIES*

## What is cheap and what is dear?

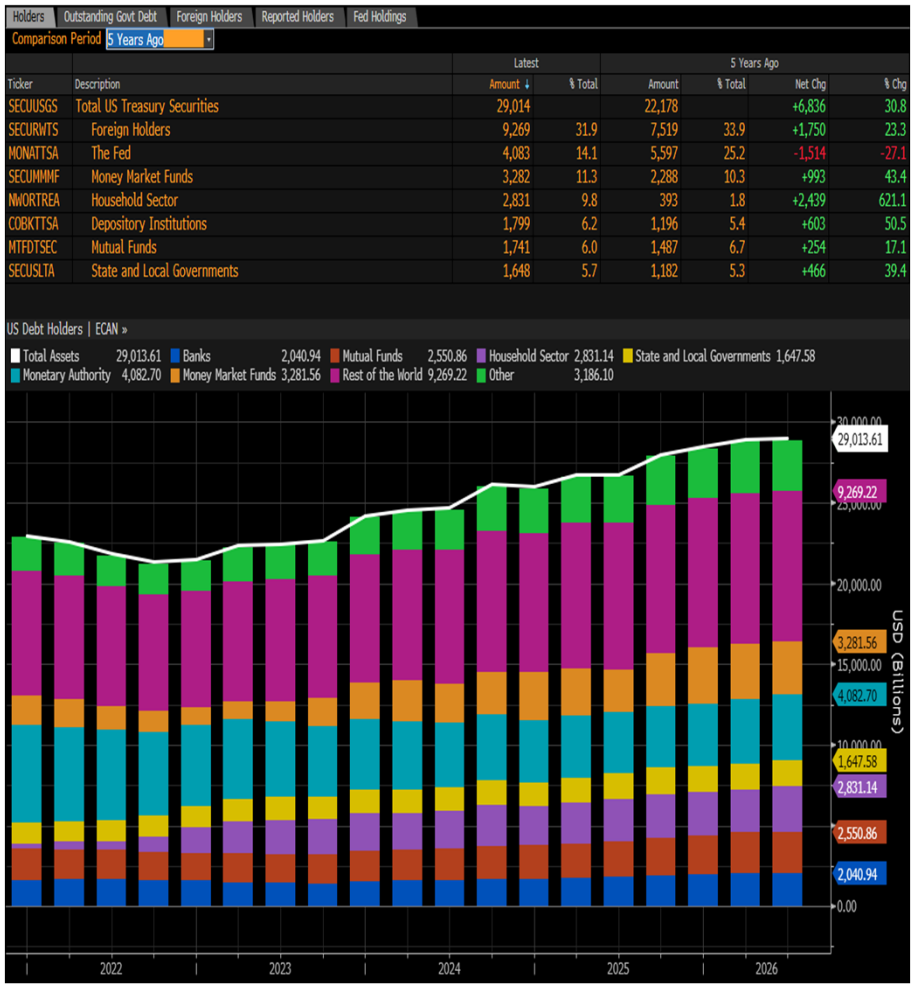
**It pays to be 'long'!**

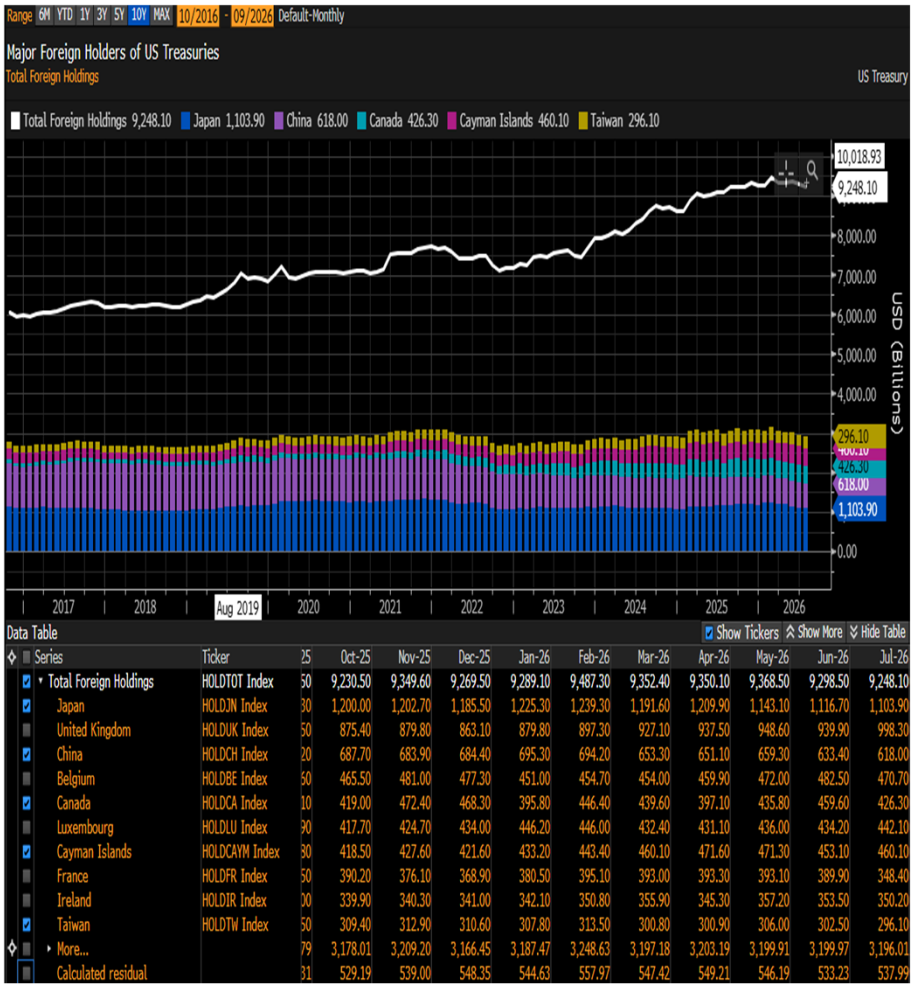



Source: Bloomberg, CAIM, , September 2026
*Bloomberg function 'GOVY'

# UST OWNERSHIP STRUCTURE

## The FED has remained the single largest investor



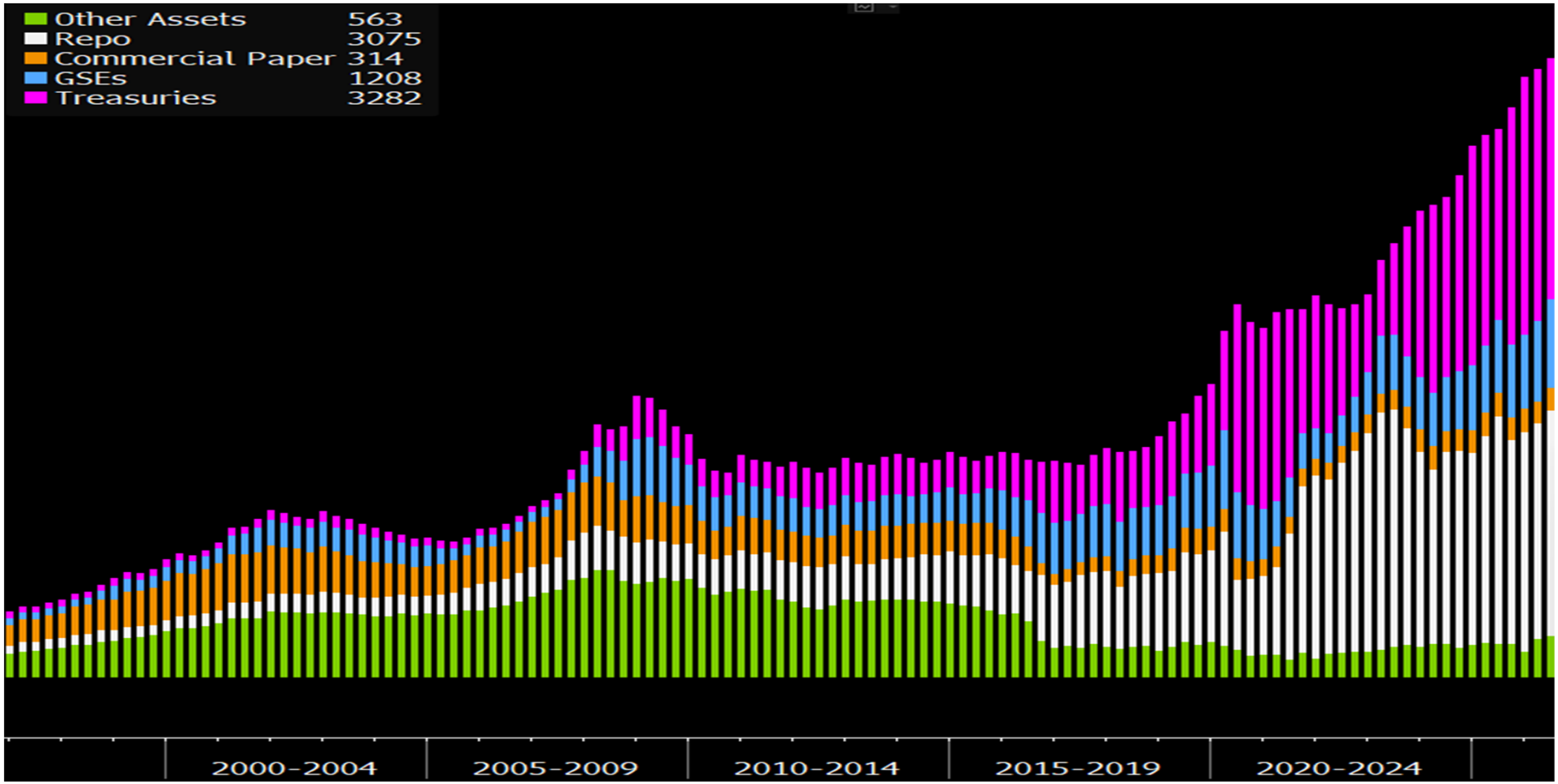

Source: Bloomberg, CAIM, , September 2026
*Bloomberg function 'DEBT'

# APPENDIX

# MONEY MARKET FUNDS

## Money Market steady inflows cannot last forever

**Money Market funds flows behaviour remains one of the key questions in coming months**




Source: Bloomberg Finance L.P., September 2026

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